Assessment comments

Example 5: SLP2

Subject: Economics

Component: SL paper 2

Question 1 Part	Marks awarded	Marks available	Comments
(a)(i)	2	2	**Two** points from the markscheme are clearly met. • It is a form of long-term investment. • It is an investment by a multinational corporation.
(a)(ii)	2	2	The response provides the formula, and since the formula is sufficient to earn full marks, this answer is awarded two marks.
(b)(i)	2	2	The workings are not very clear but the final values are sufficient for this question.
(b)(ii)	0	1	The year is identified incorrectly. Given how the response presents the values in (b)(i), "2018–2019" would have been awarded one mark under the "OFR" rule.
(b)(iii)	1	2	Only one mark is awarded since the units ($) are not expressed.
(c)	4	4	Two marks are awarded for the diagram and two marks for the explanation. The aggregate demand (AD) and short-run aggregate supply curves are not needed and hence are ignored. While the impact on AD is not analysed correctly, this aspect is not tested by the question and hence is ignored (positive marking). There is, otherwise, a mention of increase in efficiency and full employment level of output.
(d)	2	4	One mark is awarded for the diagram and one mark for the explanation. The diagram is not fully labelled. Either "D" and "S" (demand and supply, respectively) **or** "MPB" and "MPC" (marginal private benefit and marginal private cost, respectively) need to be indicated to identify the market equilibrium. The explanation of the external cost (e.g., pollution) lacks precision.
(e)	2	4	Two marks are awarded for the diagram and zero marks for the explanation. The diagram is accurate (the increase in demand is justified in the explanation to illustrate the appreciation the central bank is trying to prevent) except for the title. However, the title is ignored since candidates are not required to provide it (positive marking). Even so, the explanation is not linked to any form of government intervention and thus does not earn any mark.

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(f)	2	4	One mark is awarded for the diagram and one mark for the explanation. Not all necessary quantities are projected along the horizontal axis, and the two price points are not indicated. While there is no direct reference to the change in domestic production, the response recognizes that imports would increase.
(g)	5	15	The level descriptors are as noted below. • Demands of the question (four-to-six markband): The response demonstrates some understanding of the specific demands of the question, but it is quite superficial as there is only vague reference to the characteristics of a common market. • Theory (four-to-six markband): The relevant economic theory is described but not clearly explained throughout (e.g., why would foreign direct investment inflows increase upon joining the European Union?). • Terminology (four-to-six markband): Some relevant economic terms are included but, overall, the response is limited to basic macroeconomic terms which are sometimes misused (e.g., imports instead of exports). • Synthesis/evaluation (one-to-three markband): There is no valid judgement (evaluation). • Use of text (four-to-six markband): The response incorporates some references to the text, but the use is limited and generally adds little value. Some parts are also misinterpreted (North Macedonia is not the source of 62% of all European Union imports). Since this response does not meet all the descriptors in the four-to-six markband, the mark cannot be as high as six, the top of that range.
Total	**22**	**40**	